BUSINESS DATA MANAGEMENT

Lecture08

Understanding Business Basics

Hello and welcome to this first video lecture on business data management theory. My name is Ashwin Baliga and I am a faculty member of marketing and sales at ESX School of Management, Paris, France. And in this week one, I will be covering the following concepts. We shall understand the difference between a customer versus consumer. Further take a deep dive, try to understand the difference between marketing versus sales.

What is B2C and how it is different with respect to B2B. And then finally, we would end this week one lecture with what we know, what is referred to as organizational buying behavior, which is all about how the B2B purchases happen. So let's now first try to understand the difference between a customer and a consumer. So you might have heard these two terms interchangeably, but it is very important for us to understand are they the same or is it the same or is it different, right? So let me write a statement here.

A customer can be a consumer. A consumer can need not be a customer. And what does this mean? Now, let's say that I go to Starbucks, a coffee shop.

I pay an amount, let's say I pay 100 rupees and have a cup of coffee. I am the customer and I'm the consumer as well. I'm the customer because I paid the money for it and I'm the consumer because I consumed it. But let's say that if I go with my brother And I pay for the coffee, but he consumes it.

In that case, I'm the customer because I have paid for the cup of coffee. And he is the consumer because he's someone who has consumed it, but does not pay for it. So similarly, if we think of the program, you all students are enrolled, registered for this program. And let's say that your parents have kind of paid the fee for this program. Then you become consumers and your parents are customers.

But let's say that you've paid the fee and also part of it. Then you're both what we call as customer as well as a consumer. Now that we have the understanding of customer versus consumer, We now try to understand what is the difference between marketing versus sales, right? Is it the same?

Is it different? So naturally, when I ask in the class, what is marketing or what is sales, there tends to be a lot of confusion. So to understand the definition of marketing, there is a body which is called AMA, which is called the American Marketing Association. And this is a body based in the U.S., which... which gives you the definition of marketing.

And one of the older definitions is, one of the definitions, this keeps changing every year, evolving, you can go back and have a look at the latest definition, but one of the earlier definitions was, you choose a target market, get, keep and grow customers and then create, communicate and deliver an attractive value proposition. So this is the definition of marketing. But then when you look at this definition, it might be kind of creating confusion for you. You might not be clear as to what it is.

As we go ahead, you will understand what these terminologies are, but if you just have to understand what marketing is, whenever a company does marketing, it does what we call as it creates a kind of awareness. And this awareness could be by means of promotions, advertisements, et cetera. And whenever this happens, there is what we call as a cash outflow, which makes the cash go out of the system. This is because the company is trying to create awareness and this awareness is done by means of promotions, some kind of advertisements, et cetera.

And whenever you do this, there is a cash outflow that is happening. Some organizations might have a separate marketing department, a separate sales department. Some of them might have marketing and sales departments, which are kind of combined, right? So marketing is associated with creating an awareness to understand it in simple terms.

And when you kind of create what we call this awareness, that is what we call a cash outflow. And then marketing, in case if somebody asks you what is the definition of marketing, you can simply say it is five Cs. Marketing is four Ps. There are four Ps of marketing, which you might be aware of. And there is something which is referred to as STP, right?

So what are the five Cs of marketing? So let's try to understand the five Cs of marketing. The four Cs, I hope you know the four Ps of marketing. The four Ps of marketing, which all of you are aware of, if not, it is product, price, promotion, promotion, and place, the right product at the right place, in the right condition, et cetera, right?

And then you have something which is called the five Cs. And what are the five Cs? The five Cs are customer, company, context, competitor, competitor, and finally you have what we refer to as a collaborator. These are the five Cs. And then you have STP, which is nothing but segmentation, targeting, and what we refer to as positioning.

So in the event, if you cannot recollect the definition of marketing, which is this, which we, when we go to the next week two or week three, I will try to explain to you what this value proposition is all about, but To explain in simple terms, value proposition is a simple statement that communicates the benefit of the product or service to the end customers, right? So price is what you pay, value is what you kind of get in return. So that is what it is. Now that we know what the 5Cs are, let's try to now understand what segmentation is.

So segmentation is nothing but a group of customers. So segmentation is nothing but a group of customers having Similar needs and wants. So this is what segmentation is. So you can think of segmentation as a cluster.

You know, a group of customers who have kind of similar needs and wants. To give you an example, now let's say that a school, an MBA college, and they want to start a new mess. And let's say that the college had 10,000 students. And the college wanted to open a new mess. I mean, they started their hostels and, you

know, they had many buildings and they decided to open new messes or let's say eateries because students typically like to have this food.

And the survey was floated. And the survey was floated. Ten thousand students took the survey and, you know, they were asked, you know, what kind of restaurant would you kind of what kind of, you know, food is that you would prefer, whether it is North Indian, whether it is North Indian, South Indian, Continental or Chinese. Right.

So these were the four options that were given because this was an eatery. Right. And let's say that Chinese. So students kind of vote for this. You know, they could have been this could have been given in the form of survey.

Or maybe the students were asked to kind of indicate what that is, what kind of food they would prefer. And now if you see here, we have identified four segments because there is North Indian, South Indian, continental and Chinese. So four segments are identified. But what happens is when students vote, let us say, let's say North Indian got a vote of 25 percent out of 10,000. Let's say 2,500 students voted for this South Indian.

Let's say. 35% students voted for us. 35% of 10,000 is approximately 3,500. And the rest was a combination. The rest, which is around 40%, which is, you know, there was a split.

Let's not, or not to make you get confused. So let's say that Chinese was kind of given 20% and continental 20%. So now, what happens is that the college management has what we call as these numbers. So 25% of 10,000 is 2,500, 35% of 10,000 is 3,500.

So the maximum, so you identified four different segments, right? Now, which is it that the college would target? The college would target South Indian. And why is this the case? Because here you have the targeting

is based on the mode or what we call as value of where the frequency is higher. The frequency is higher, right? You know, you see that in statistics, you would

have heard of a terminology which is called as mode, right? You would have studied what is a mean, what is a median, which is a mode. So mode is the value of the highest frequency.

And we see that, you know, 35% of the students opted for South Indian. So the management decided that, okay, we kind of go with a South Indian eatery inside the campus. So segmentation is the first step where let's say that a survey was floated Maybe that the college gave four options, or let's say that just to avoid those four options, the college would have asked, okay, indicate the preferences that you want. And based on the preferences, they found out that four different segments were identified, clusters were identified.

The next step is to kind of target, you know, what is it that you're going to do? So what happens? Naturally, a question might come that what happens if we target continental? Well, you can target; if you target continental, you are actually not respecting, you know, the votes or the choice of the students, which is their wish. which may not have that much of patronage when it is kind of open later.

You know, students might kind of not prefer it because it is not based on what their choice was. So that is why this is what we refer to as targeting. And then finally, we have something which is called positioning. Now, positioning is all about how once you have made a decision, how do you position this? How do you position this in the mind of a consumer?

You know, what happens is it is a college food. So most of them might be a bit skeptical whether it is, you know, it's the price is less. So we are not sure whether it is good. So it is also important to kind of give this message, pass this message and tell to them that, guys, look, you know, here is good quality food, nutritious at a decent price, which is very good because this positioning is also important to them. Now, if you look at this, these things keep varying in the context of this example, let's say.

that a survey was floated, students were asked to give their preferences, They give their preferences. And let's say based on these preferences, South Indian

had the highest number of votes. So that was targeted. And then it is also important for the college management to kind of pass a message to do this positioning.

Right. You know that we have opened this, you know, we serve you the best quality nutritious food. And, you know, only when this positioning is done that how do you position this? How do you convince the customer, you know, that that positive signal has to be. So now that we know what is marketing, so marketing, if you do not understand all this, just for now, remember that marketing is done by the companies to kind of create this awareness.

And whenever an awareness and why this awareness should be created, an awareness should be created because, you know, it might give stimulus to the customer. The customers might like it. You know, marketing does create a lot of awareness, which which kind of helps customers when the customers believe that it is meeting their needs. It helps them in making decisions. Right.

Now what happens with sales is that with marketing there is cash outflow, with sales there is cash inflow. So you typically see here a lot that there is a lot of, you know, infighting between the teams at times where the sales people kind of say that, you know, we are the ones who actually bring in the revenue and marketing is something that is spending a lot. And you know, this debate keeps happening, right? So it is important to create an awareness because without an awareness, there is not much of sale that is happening. So this is an infighting, which is always there.

But let's try to understand the definition of selling, right? Now, the definition of selling. So now that you know what is sales, so marketing is cash outflow, sales is cash inflow. To sell, we need a minimum of two entities, right? So what happens to sell?

You need a minimum of two entities. We need two parties, right? The first one is what we call as a seller. The seller is also referred to as a supplier, right? So if they are dealing with products, you call them, you refer to them as suppliers.

Or if they are associated with like products, if they just sell services. So I'll explain the difference between products and services shortly. But let's say that somebody is dealing with products, you call them sellers or suppliers. And if they're dealing with services, what do you mean by services? It's like, you know, your consultancy or, you know, your banking and financial services, the mobile SIM cards that you have, transportation, they are called service providers, right?

Who kind of sell services? Now I draw an arrow. This is to indicate that the seller is selling to the buyer, right? So what happens here is the seller they sell things to the buyer.

The buyer is also referred to as customer. So if you're dealing with products, we refer to them as customers as well. And if they are dealing with services, we refer to them as clients. So you might have heard of this particular terminology where, you know, some of them call clients and, you know, so if it is called clients, it means that they're actually dealing with what we refer to as services, right? So

Why is the arrow going from seller to the buyer? It is because it is the seller who sells to the buyer. What is very important is that the seller, the seller sells the offerings. The seller sells the offerings to the buyer. And what we have to remember is that this should always be done at what we call a profit.

Because when you sell, it is important that you sell in a manner which is profitable for the company. Why? Because if there are no profits, if you do not sell it at a profit, your company cannot survive. It cannot sustain.

And that is why when you sell, it is always important to keep in mind that the very first objective of any selling process, whether it is B2C or B2B, which I shall come to in some time, is to always sell at what we call a profit. Now I told you there is something called offerings. Now what is this offerings? Now offerings could mean a company could sell only products, a company could sell only services, a company could sell both products and services, right? So that is why I had written it as offerings because you might come across companies which only kind of sell products.

You might come across companies that only kind of sell services. So companies that sell only services are referred to as service providers, okay? Now that we know the definition of selling, let's now try to revisit some of the things that you learned in class 10 maybe to understand what is this profit, right? So you would have come across some terminologies in your school days. There is something called cost price, which is CP, right?

The cost price is nothing but the cost incurred The cost incurred in making a product. I'm going to put a simple, very simple definition. The cost incurred in making a product. Let's say that this is a pen and a normal ball pen and the cost incurred in making this is 10 rupees.

Okay. Now, this is what is the cost. So cost prices, they're just the cost incurred in making this product, you know, from the procurement and how much, you know, you bought these raw materials and everything. The total cost which is incurred in making this product, let's say 10 rupees. Now, what you do next is there is something called a selling price.

Now what is the selling price? Selling price is given by something called as SP, and selling price is the cost at which the product is sold in the market, right? The cost at which the product is sold in the market. So let's say that's the same pen that cost this company, some company 10 bucks to make. They sell, let's say they sell it at 25 rupees in the market, right?

Now, what we have to remember is, I always told you that when you sell, the objective is that you always need to sell at what we call as a profit, right? Because that is what is very important. Because if there is no profit, the seller cannot sustain or what we call as survive. So if your selling price, which is SP, is greater than the cost price, then the seller gets what we call as profit. So this is always the first objective.

But is this the case always? The answer is no. We know that this is not the case always. Well, everybody wants to have profits. What is happening is that it cannot

be the case always because if you look at apparel brands, if you go to a shopping mall on a Saturday, anywhere what you see is that

A lot of alternatives are there. For example, in lifestyle, if you go into a shopping mall, let's say you walk into lifestyle, which is a multi-branded retailer, a lot of apparel brands. And, you know, with competition, the intensified competition, everybody wants to sell it at, you know, the best price. And what happens is when we go try to understand the difference between B2C versus B2B, you try to understand why this is the case. But then what can also happen is that the selling price is less than the cost price.

Now, what happens is selling price is less than the cost price. Let's say that the pen that I was talking about, you know, it cost 10 rupees to make the product, but you eventually sell it at eight rupees. Now you have what we call a loss. Right. So that is what it is, which is there is a loss.

And the third case is the selling price could also be equal to the cost price. In such a case, there is no profit. There is no profit or no loss. So if you are a business, your first preference would always be to sell at a profit, which is the case, right?

That you always want to maximize or optimize your profit. So that is always the case. That is, if you start a business, whether it is a kirana store, a vegetable vendor, a big business, always the objective is to sell things at a profit, right? The second thing is, if this doesn't work, what you should do next is the second preference is this, that you at least sell it at the same price. Now,

which is because while we intend to sell things at a profit, let's say that the competition is higher, new products coming into the market, older products becoming obsolete. In such cases, what do you do? For example, if you look at mobile phones, right? You know, the technology is changing at a faster rate. What is new today is old tomorrow.

So what happens is, Typically, when a new product is about to be launched, what happens is the older models, the price is kind of reduced. So in such cases, you know, they will have to sell it. Why? Because they have to minimize the loss.

And the final thing is that you sell it at less than the cost price as well, which means in the second case, what happened is that you made the pen for 10 bucks, you sold it for 10 bucks, right? So this is where there is no profit, no loss, because the profits that you have is nothing. But in this case, in the third case, what happens now is that you made the pen for 10 sold it, let's say at eight rupees. Now you have a loss of two rupees.

Now you might ask me, Ashwin, why is that this should be done? Now let me kind of explain to you why this is the case, right? So suppose you have a pen in the inventory, you have a pen in your inventory. Let's say I'm giving you a simple example. Like you have a Kirana store, you have a pen in your inventory and that costs 10 bucks, 10 rupees, right?

Now, if you do not sell this pen, the losses incurred, if you do not sell this pen at all, the losses incurred is actually 10 rupees. But let's say that you sell this pen for five rupees. Now the losses incurred is five rupees. Now what is happening is you are selling, but the losses, you are what we call as minimizing the loss. So this is what is very important.

So that is why I said that. While every company aims to sell at what we call as profit, it might not be the case every time. In such cases, you try to sell it at the same price as that of the cost price. And if that is also not possible, then you go to the third one where the selling price is less than the cost price. I hope this clarifies the first part, which is understanding the difference between customer versus consumer, where a customer can be a consumer.

Which means that I pay for this pen and I use it. I'm a customer and consumer. But let's say that I buy this pen and gift it to my brother. I am the customer because I bought this pen and my brother is the consumer because he is using it.

And similarly, the difference between marketing and sales, where marketing is done

by the company to kind of create an awareness. And whenever there is an awareness which is created, there is more of a cash outflow. Whereas what happens with sales is there is something called as cash inflow. And for to sell, as I told you, we need a minimum of two entities. The first is what we call as a seller.

And then on the other side, you have what we refer to as the customer. And it is the seller that sells to the customer. So the arrow moves from seller to the customer or the buyer, right? So I hope this helped you understand the differences more clearly now. We will next try to understand the difference between B2C versus B2B.